Technical analysis

Technical analysis, on the other hand, takes an active investing strategy that looks at graphs rather than tables, and also, like a passive investor, assumes the stock price has been priced in; that is, that the value of the stock is equal to its price. They believe that history can be used to assess how stocks perform and people (and therefore the supply and demand of the market) behave. They believe you can use patterns to determine what the next move is.

These are the types of investors you've always been intimidated by, the ones with 'candle stick charts' (see figure 10.1, overleaf).

There are hundreds of patterns that technical analysts use to forecast how a stock will move, including trendlines, channels and momentum indicators. Critics believe that technical analysis only works at times and that history doesn't repeat itself. It can also be a bit of a self-fulfilling prophecy; for example, when technical analysis 'predicts' correctly, then credit may be given to the strategy, but if it doesn't go to plan, the blame may be given to the analyst who 'just understood it wrong'.